

is crucial, you can book the profit for your short trade at this level, or at least you can trail SL near to this level to lock in the profits. Do you agree?

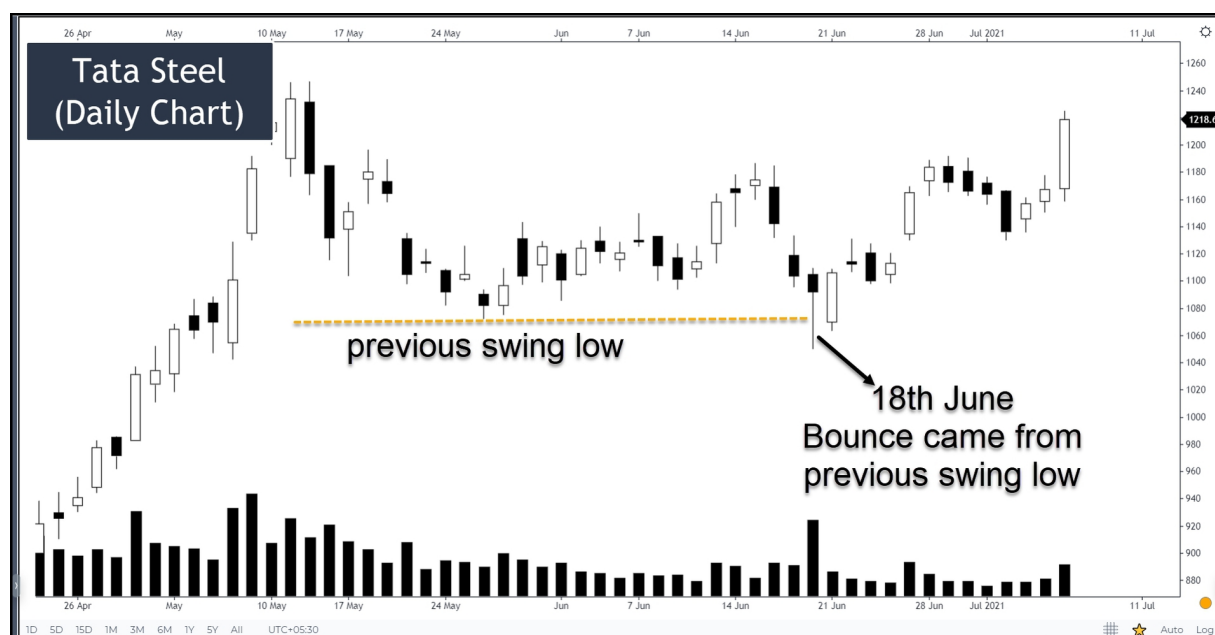


Image 3.2 – Tata Steel Daily chart

If you look at the daily chart of Tata Steel (image 3.2), there was a previous swing low formed at 1070 level on 26-May-2021.

So, when the price came to this level on 18th June, these strong buyers on the daily timeframe defended their position.

If the same trader who took a short trade on 18th June didn't know this level, he would have lost his short trade. So, knowing these key price levels early, help day traders to manage their trades in a better way.